

Azerbaijan

Transfer Pricing Country Profile¹

May 2025

		SUMMARY	REFERENCE
The Arm's Length Principle			
1	Does your domestic transfer pricing framework ² make reference to the arm's length principle?	☒ Yes ☐ No The substance of the arm's length principle is reflected in Azerbaijan's domestic legislation.	The Tax Code Article 13.2.65
2	Does your domestic transfer pricing framework give the OECD Transfer Pricing Guidelines any role or status (e.g. legal binding effect, subsidiary application in the absence of domestic legislation, source of interpretation of domestic legislation and/or treaty provisions, other)?	☒ Yes ☐ No The concepts used in the Rules for transfer pricing purposes, shall be applied in the meaning adopted in the OECD Transfer Pricing Guidelines, unless otherwise specified in the Rules.	Rules for Determining and Applying Transfer Pricing , Para. 2.0. (Decision of the Board of The Ministry of Taxes of The Republic of Azerbaijan, 27 January 2017)
3	Does your domestic transfer pricing framework provide for a definition of related parties applicable for transfer	☒ Yes ☐ No	The Tax Code Article 18, Article 14-1.2.

¹ Information in transfer pricing country profiles is provided directly by jurisdictions. By publishing the transfer pricing country profiles on the OECD website, the OECD does not certify the accurateness of the information provided therein. Importantly, transfer pricing country profiles published on the OECD website are made available to stakeholders for information purposes only, and are not intended to be used in substitution to a jurisdiction's legal instruments, jurisprudence, or administrative guidance or practice nor relied on as an accurate and complete description of domestic law.

² For purposes of transfer pricing country profiles, the term "domestic transfer pricing framework" refers to a jurisdiction's domestic legislation, regulations, administrative guidance or practice, jurisprudence or governing general principles in the jurisdiction.

	pricing purposes? If so, please provide the definition contained under your domestic transfer pricing framework.	Definition of related parties is defined in Article 18 (Interdependent persons) of the Tax Code: “18.1. Interdependent persons for tax purposes are individuals and (or) legal entities whose relations may directly affect the economic results of their activities or the activities of the persons they represent. 18.2. For the purposes of this Article, the following persons shall be considered to be mutually dependent: 18.2.1. a person directly or indirectly participates in the property (authorized capital) of another person and his/her share or voting rights are at least 20 percent; 18.2.2. a person is subordinate to another person due to his/her service position or a person is directly or indirectly under the control of another person; 18.2.3. the persons are directly or indirectly under the control of a third party; 18.2.4. the persons directly or indirectly jointly control a third party; 18.2.5. family members specified in Article 13.2.7 of this Code. 18.3. For the purposes of this Article, a person is deemed to have control over another person if that person has the ability to restrict or direct the activities of the other person. Between a resident of the Republic of Azerbaijan and (or) a permanent establishment of a non-resident in the Republic of Azerbaijan and entities established (registered) in countries with preferential taxation;” Transactions covered by transfer pricing is stated in Article 14-1.2 of the Tax Code: “14-1.2. Taxes may be calculated on the basis of transfer pricing from transactions carried out between the following persons: 14-1.2.1. Between a resident of the Republic of Azerbaijan and non-resident persons who are mutually dependent on him, as well as any representative office, branch and other division of that resident located in other states (territories); 14-1.2.2. between a permanent establishment of a non-resident in the Republic of Azerbaijan and that non-resident itself or any of its representative offices, branches and other divisions located in other states, or any other person mutually dependent on that non-resident and located in another state; 14-1.2.3. Between a resident of the Republic of Azerbaijan and (or) a non-resident with a permanent representative office in the Republic of Azerbaijan and entities established (registered) in countries with preferential taxation;	
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		14-1.2.4. except for the cases specified in Articles 14-1.2.1-14-1.2.3 of this Code, between a resident of the Republic of Azerbaijan or a permanent representative office of a non-resident in the Republic of Azerbaijan and non-resident persons, provided that: 14-1.2.4.1. persons have conducted transactions on products traded on international commodity exchanges and (or); 14-1.2.4.2. The total income of a resident of the Republic of Azerbaijan or a permanent representative office of a non-resident in the Republic of Azerbaijan during the tax year exceeds 30 million manats and the specific weight of the volume of transactions with each non-resident in the total income (expenses) exceeds 30 percent.”													
Transfer Pricing Methods															
4	Does your domestic transfer pricing framework provide for transfer pricing methods to be used in respect of transactions between related parties?	☒ Yes ☐ No If affirmative, please check those provided for in your legislation: <table border="1"> <thead> <tr> <th>CUP</th><th>Resale Price</th><th>Cost Plus</th><th>TNMM</th><th>Profit Split</th><th>Other (If so, please describe)</th></tr> </thead> <tbody> <tr> <td>☒</td><td>☒</td><td>☒</td><td>☒</td><td>☒</td><td>☒</td></tr> </tbody> </table> According to Article 14-1.7. of the Tax Code The taxpayer has the right to provide evidence regarding the determination of the transfer price of goods (works, services) in a manner different from what is specified in this Code.	CUP	Resale Price	Cost Plus	TNMM	Profit Split	Other (If so, please describe)	☒	☒	☒	☒	☒	☒	The Tax Code, Article 14-1.7. Rules for Determining and Applying Transfer Pricing, para 5.1.1.-5.1.5.
CUP	Resale Price	Cost Plus	TNMM	Profit Split	Other (If so, please describe)										
☒	☒	☒	☒	☒	☒										
5	Which criterion is provided for in your domestic transfer pricing framework for the application of transfer pricing methods?	Please check all that apply: ☐ Hierarchy of methods ☒ Most appropriate method ☐ Other (if so, please explain)	Rules for Determining and Applying Transfer Pricing, para 5.2-5.4.												

		The selection of a transfer pricing method always aims at finding the most appropriate method for a particular case. With regard to the proper method of establishing transfer prices, general recommendations of the OECD TPG are followed. If applicable in a reliable manner, CUP has the priority. Articles 5.2-5.4 of the Rules for Determining and Applying Transfer Pricing state the following: “5.2. In all cases where possible, the price comparison method provided for in subparagraph 5.1.1 (CUP) of these Rules shall be applied to determine the transfer price. 5.3. If it is not possible to determine the transfer price using the CUP method, and if there are no comparable transactions or information of known source about the prices of those transactions for the application of this method, other methods shall be used. 5.4. When selecting other methods, the method shall be used, taking into account the nature of the controlled transaction, the characteristics of the parties to the transaction and other indicators, whichever method is more likely to be applied based on the information on the identified comparable uncontrolled transaction. If the information obtained allows the application of both one of the methods provided for in subparagraphs 5.1.2 (RPM) or 5.1.3 (CPM) of these Rules and one of the methods in subparagraphs 5.1.4 or 5.1.5 of these Rules, one of the methods in subparagraphs 5.1.2 or 5.1.3 of these Rules shall be selected when determining the transfer price.”	
6	Does your domestic transfer pricing framework contain specific guidance on commodity transactions?	☒ Yes ☒ For controlled transactions involving commodities, the guidance contained in paragraphs 2.18-2.22 of the TPG is followed. ☐ Domestic transfer pricing framework provides for the use of a specific method for controlled transactions involving commodities (if so, please explain) ☐ No Commodity transactions (traded in international commodity exchanges) are covered by the Rules for Determining and Applying Transfer Pricing (paragraph 2.0.1.4.) and by the Tax Code (Article 14-1.2.4.1.).	The Tax Code, Article 14-1.2.4.1. Rules for Determining and Applying Transfer Pricing, para 2.0.1.4.

Comparability Analysis			
7	Does your jurisdiction follow (or largely follow) the guidance on comparability analysis outlined in Chapter III of the TPG?	☒ Yes ☐ No	Rules for Determining and Applying Transfer Pricing , Section 4
		The guidance for performing a comparability analysis in Azerbaijan is aligned with the guidance outlined in Chapter III of the TPG.	
8	Is there a preference in your jurisdiction for domestic comparables over foreign comparables?	☐ Yes ☒ No	
		There is no preference for domestic comparables over foreign comparables specified in Azerbaijan's transfer pricing framework.	
9	Does your domestic transfer pricing framework permit the use of secret comparables for transfer pricing assessment purposes?	☐ Yes ☒ No	
10	Does your domestic transfer pricing framework allow or require the use of an arm's length range and/or statistical measure (e.g. the interquartile range or other percentiles) for determining arm's length remuneration?	☒ Yes ☐ No	Rules for Determining and Applying Transfer Pricing , article 2.0.9, 6.2, 6.3
		Domestic TP framework require the use of ALP range if there are comparable transactions, if there is only one comparable transaction TP is calculated based on the indicators of that transaction. 2.0.9. Interquartile range - the interval between the median of the lower quartile and the median of the upper quartile of the relevant indicators (price, margin or specific weight) selected from all comparable transactions. If the transfer price is outside the interquartile range, then the tax is calculated using the median of that range. 6.2. If the comparative analysis identifies only one comparable transaction, the transfer price is calculated based on the relevant indicators of that transaction. 6.3. When there are multiple comparable transactions, the transfer price is calculated by determining the interquartile acceptable range of the selected relevant indicators (price, margin, or specific weight) of all comparable transactions.	

11	Are comparability adjustments required under your domestic transfer pricing framework?	☒ Yes ☐ No OECD TPG Guidance is followed: Where there are differences between the situations being compared that could materially affect the comparison, comparability adjustments must be made, where possible, to improve the reliability of the comparison	
Intangible Property			
12	Does your domestic transfer pricing framework contain guidance specific to the pricing of controlled transactions involving intangibles?	☒ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VI of the TPG? ☒ Yes ☐ No ☐ No Articles 4.4.1-4.4.4. of the Rules for Determining and Applying Transfer Pricing states that: “4.4. If the controlled transaction relates to the transfer or concession of rights to intangible assets, a comparative analysis will be conducted to select a comparable transaction. In addition to the factors outlined in paragraph 4.3 of these Rules, the following indicators will be compared: 4.4.1. The advantage that the person acquiring the intangible asset (such as a patent, trademark, license, or other intangible asset) will gain in the market from acquiring that asset; 4.4.2. Any geographical restrictions or prohibitions related to the use or representation of the rights to the intangible asset being transferred or conceded; 4.4.3. Whether the right to use the intangible asset is exclusive or non-exclusive; 4.4.4. Whether the person acquiring the right to use the intangible asset has the authority to improve or modify it.”	Rules for Determining and Applying Transfer Pricing , article 4.4.1.-4.4.4.

13	Are there any other rules outside your transfer pricing framework that are relevant for the pricing of controlled transactions involving intangibles?	☐ Yes ☒ No	
Hard-to-Value Intangibles			
14	Does your domestic transfer pricing framework contain guidance specific to hard-to-value intangibles (HTVI)? ³	☐ Yes. If so, does your domestic transfer pricing framework follow the guidance on HTVI in Chapter VI of the TPG? ☐ Yes ☐ No ☒ No	
Intra-group Services			
23	Does your domestic transfer pricing framework provide guidance specific to intra-group services transactions?	☐ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VII of the TPG? ☐ Yes ☐ No ☒ No	
		The guidance in Chapter VII of the TPG is followed.	

³ In the case of jurisdictions that do not apply the HTVI approach (i.e. they responded “no” to question 14), it is not necessary to respond to the remaining questions in the HTVI section and these questions will not be published as part of jurisdiction’s transfer pricing country profile.

24	Does your domestic transfer pricing framework provide for or allow the application of a simplified approach for low value-adding intra-group services?	☐ Yes. If so, does it follow (largely follow) the low value-adding services approach in Chapter VII? ☐ Yes ☐ No ☒ No	
25	Are there any other rules outside your transfer pricing framework for pricing intragroup services?	☐ Yes ☒ No	
Financial Transactions			
26	Does your domestic transfer pricing framework provide guidance specific to financial transactions?	☒ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter X of the TPG? ☒ Yes ☐ No ☐ No	Rules for Determining and Applying Transfer Pricing , para. 4.5
27	Are there any other rules outside your transfer pricing framework that are relevant for the tax treatment of financial transactions? (e.g. whether your jurisdiction has implemented the measures in BEPS Action 4 to limit interest deductions and other financial payments or any similar rules)	☒ Yes ☐ No Articles 110.1 and 110.3 of the Tax Code provide restrictions on deductibility of interest payments, as follows: 110.1. not to exceed 125% of average interest rate of interbank loans, either from a bank auction held for a similar period or, if no such auction is held, from the average interest rate of interbank loans published by the Central Bank of the Republic of Azerbaijan 110.3. Notwithstanding the other provisions of this article, if the foreign debts (excluding debts issued by foreign banks and credit institutions, as well as bonds traded on foreign exchanges) exceed twice the taxpayer's net assets (capital), the interest calculated on the portion of the debt exceeding twice the net assets (capital) shall not be deductible from income."	The Tax Code , Article 110.1, 110.3

Cost Contribution Arrangements

28	Does your jurisdiction allow cost contribution arrangements?	☒ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VIII of the TPG? ☒ Yes ☐ No ☐ No	
		There are no specific rules on cost contribution arrangements in Azerbaijan. However, these arrangements are allowed under Azerbaijan transfer pricing framework.	

Transfer Pricing Documentation

29	Does your domestic transfer pricing framework require the taxpayer to prepare transfer pricing documentation?	☒ Yes ☐ No If affirmative, please check all that apply: ☒ Master file consistent with Annex I to Chapter V of the TPG ☒ Local file consistent with Annex II to Chapter V of the TPG ☒ Country-by-country report consistent with Annex III to Chapter V of the TPG ☐ Specific transfer pricing returns (separate or annexed to the tax return) ☐ Other (specify):	The Tax Code , Article 16.1.4; 16.1.4-1; 16.9
30	Please briefly explain the relevant requirements related to each transfer pricing documentation requirement (i.e. timing for preparation or submission, languages, etc.)	Azerbaijan's transfer pricing framework provides for master file, local file and country-by-country reporting (CbCR), as follows: - Master file should be submitted within 60 days upon request of the tax administration - Local file should be submitted:	The Tax Code , Article 16.1.4; 16.1.4-1; 16.9 “Rules on The deadline, form, and procedure for submitting the report of an enterprise that is a resident of the Republic of Azerbaijan and

		○ for transactions that exceed Azerbaijan Manats (AZN) 500 000 – according to the “Report on controlled transactions”, a local file for transactions exceeding this threshold should be submitted no later than 31 March of the year following the reporting year (the same due date for corporate income tax returns) ○ for transactions below AZN 500 000, the local file should be submitted within 60 days upon request of the tax administration ● If the total revenue of a multinational enterprise (MNE) group exceeds the manat equivalent of 750 million euros in a financial year, the taxpayer that is part of the MNE group and registered for tax purposes in the Republic of Azerbaijan must submit a report and notification to the tax authority. This submission must be made within the timeframe, format, and procedure determined by the relevant executive authority. CbCR should be submitted by the end of the reporting year. The Main Enterprise, Authorized Enterprise or Intra-Group Enterprise, which is a resident of the Republic of Azerbaijan and is part of a Transnational Group of Companies, shall submit the notification to the tax authorities of the Republic of Azerbaijan by electronic application by 30 June of the reporting year.	part of a multinational group of companies to the tax authority” Section 4 and 5 Rules for Determining and Applying Transfer Pricing , para. 7.4
31	Does your domestic transfer pricing framework provide for specific transfer pricing penalties and/or compliance incentives regarding transfer pricing documentation?	☒ Yes ☐ No Specific transfer pricing penalties : (financial sanctions) 57.4. A taxpayer who fails to submit the reports specified in Articles 16.1.4 and 16.1.4-3 of this Code within the established deadlines, provides incorrect information in these reports, or does not submit the documents and information specified in Article 16.1.4-1 of this Code within 60 days upon the request of the tax authority shall be subject to a financial sanction of 6,000 manats based on the decision of the head of the tax authority (or their deputy). 57.1-2. A financial sanction of 10,000 manats shall be imposed on the taxpayer for failure to submit the CBC report and/or notification within the specified period, in the prescribed form and manner.	The Tax Code , 57.4, 57.1-2.
32	Does your domestic transfer pricing framework provide for exemption	☒ Yes ☐ No	The Tax Code , 16.1.4

	from transfer pricing documentation obligations?	There is no documentation requirement for transactions below AZN 500 000, unless required by the tax authority.	
Administrative Approaches to Avoiding and Resolving Disputes			
33	Which mechanisms are available in your jurisdiction to prevent and/or resolve transfer pricing disputes?	Please check those that apply: ☐ Rulings ☐ Enhanced engagement or cooperative compliance programmes ☒ Advance Pricing Agreements (APA) ☒ Unilateral APAs ☒ Bilateral APAs ☒ Multilateral APAs ☐ International Compliance Assurance Programme (ICAP) ☒ Mutual Agreement Procedures ☐ Other (please specify):	Rules for Determining and Applying Transfer Pricing, Section 9 (APA rules) "Guide on Submitting Requests in Accordance with the 'Mutual Agreement Procedure' Provision of International Treaties on the Elimination of Double Taxation between the Republic of Azerbaijan and Other States" (MAP Guidance) Azerbaijan OECD MAP Profile
		APAs are allowed in Azerbaijan (unilateral, bilateral and multilateral) Duration is 30 days and can be extended twice each of 30 days Rollback is allowed There is MAP Guidance in Azerbaijan, and it is reflected in MAP profile of Azerbaijan Specific Provisions on APA: 9.1. Before carrying out any controlled transaction, the taxpayer may apply to the tax authority with an application determined by the State Tax Service under the Ministry of Economy of the Republic of Azerbaijan, along with the relevant agreement and details of the transaction, to agree in advance on the transfer pricing method.	

		9.2. The application mentioned in clause 9.1 of these Rules must be submitted at least three (3) months before the start of the controlled transaction. 9.3. The tax authority reviews the application regarding the advance agreement on transfer pricing methods within 30 days. If additional time is required for the review, the tax authority has the right to extend the review period twice, each time for 30 days, by providing justification for the extension. In such cases, the applicant must be informed no later than the date on which the extension begins. Unless there are grounds for rejection specified in clauses 9.3-4 of these Rules, a letter is sent to the taxpayer regarding the advance agreement on transfer pricing methods. The validity period of the tax authority's letter regarding the advance agreement on transfer pricing methods is 3 years. For further information, please refer to Mutual Agreement Procedure Profiles.	
Simplified and Streamlined Approach for Baseline Marketing and Distribution Activities			
34	Does your domestic transfer pricing framework allow the application of the simplified and streamlined approach for baseline marketing and distribution activities in the relevant Annex of Chapter IV of the TPG ⁴ ?	☐ Yes ☒ No ☐ Other As of March 2025, regulations have not yet been established for the simplified and streamlined approach.	
37	Does your jurisdiction respect the outcome of the application of the simplified and streamlined approach by a covered jurisdiction in line with the Inclusive Framework political commitment?	☐ Yes ☐ No N/A: As of March 2025, regulations have not yet been established for the simplified and streamlined approach.	

⁴ In the case of jurisdictions that do not apply the simplified and streamlined approach (i.e. they responded “no” to question 34), it is not necessary to respond to questions 35, 36 and 38 and these questions will not be published as part of jurisdiction’s transfer pricing country profile.

Safe Harbours and Other Simplification Measures

39	Does your jurisdiction provide for any safe harbours or other simplification measures in respect of certain industries, types of taxpayers, or types of transactions (not listed in other sections of this questionnaire)?	☐ Yes ☒ No	
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Other Legislative Aspects or Administrative Procedures

40	Does your domestic transfer pricing framework allow downward corresponding adjustments in the absence of a mutual agreement procedure (e.g. unilateral corresponding adjustments)?	☐ Yes ☒ No Article 14-1.3 of the Tax Code states that: “In transactions between persons specified in Article 14-1.2 of this Code, if the prices applied by the taxpayer to the goods (works, services) provided are less than the lower limit of prices established under the same conditions between other persons, except for persons specified in Article 14-1.2 of this Code, for the same transaction, taxes shall be calculated at the transfer price, and if they exceed the upper limit, taxes shall be calculated at the actual selling price.” For a definition of related parties and transactions covered by transfer pricing, please see response to question 3 of this questionnaire.	The Tax Code , 14-1.3
41	Does your domestic transfer pricing framework allow or require taxpayers to make year-end adjustments?	☐ Yes. Year-end adjustments are required. ☒ Yes. Year-end adjustments are allowed. ☐ No	The Tax Code of AR Article 72.5
42	Does your domestic transfer pricing framework provide for secondary adjustments?	☐ Yes ☒ No	

Attribution of Profits to Permanent Establishments			
43	Which version of Article 7 of the OECD Model Tax Convention on Income and on Capital do your tax treaties contain?	☒ Article 7 as it read before 2010. ☒ If so, please indicate in how many treaties: 55 ☒ Article 7 as it reads after 2010. ☒ If so, please indicate in how many treaties: 1 ☐ Other (please provide additional details)	
44	For tax treaties containing Article 7 as it read before 2010, does your jurisdiction apply the authorized OECD approach (AOA)?	☒ Yes ☐ No The provisions of tax treaties take precedence over domestic legislation. In cases of conflict, the tax treaty provisions prevail	
45	Does your domestic transfer pricing framework contain specific guidance for the attribution of profits to permanent establishments of non-resident entities? If so, please provide a summary of the main features of this guidance.	☐ Yes, they follow the AOA as described in the 2008 Report on the Attribution of Profits to Permanent Establishments ☒ Yes, they follow the AOA as described in the 2010 Report on the Attribution of Profits to Permanent Establishments ☐ Yes, they do not follow the AOA (please provide a summary of the main features of these rules) ☐ No The attribution of profits to permanent establishments of non-resident entities is defined based on the transfer pricing rules. There is no specific regulation on the attribution, but the primary legislation provides fundamental principle based on the transfer pricing regulations. Article 14-1.10 of the Tax Code states that:	The Tax Code , 14-1.10.

		“The determination of profit (income) derived by non-resident persons from sources in Azerbaijan and the calculation of taxes concerning the permanent establishment of that non-resident in the Republic of Azerbaijan are defined based on this article.”	
Other Relevant Information			
46	Other legislative aspects or administrative procedures regarding transfer pricing	N/A	
47	Other relevant information (e.g. whether your jurisdiction is preparing new transfer pricing regulations, or other relevant aspects not addressed in this questionnaire)	N/A	

For more information, please visit: <https://www.oecd.org/en/topics/sub-issues/transfer-pricing/transfer-pricing-country-profiles.html>